



PRIVATE AND CONFIDENTIAL

10th January 2008

The Children's Investment (TCI) Master Fund – Q4 2007 Report

1. Fund Performance

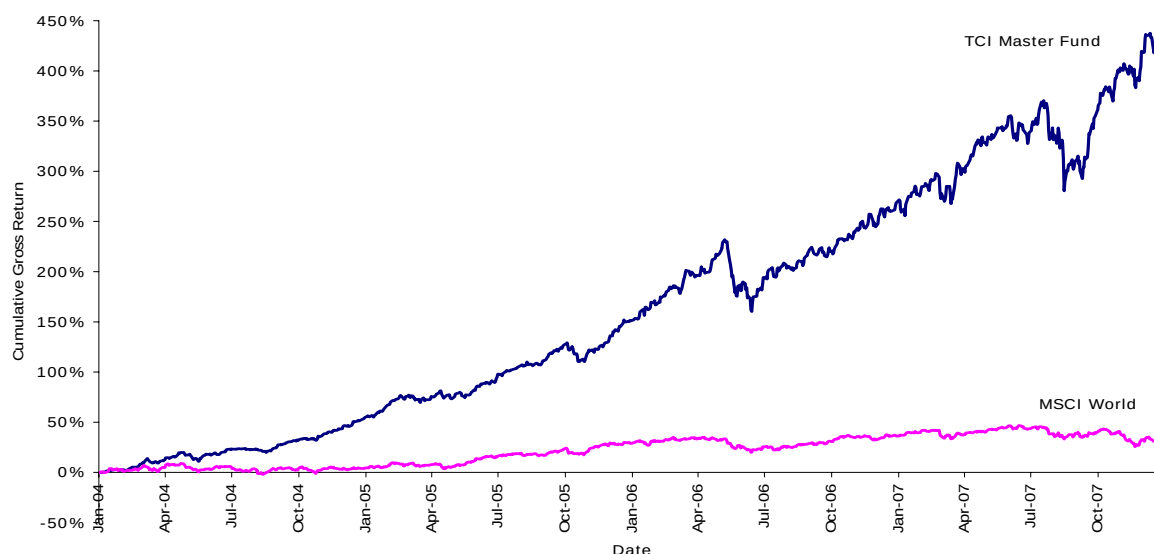
Returns for this period, net of both management (base, additional and annual) and accrued incentive fees for the fund, are shown in the table below:

Period	Master Fund Assets €m	Class A (3yr) \$	Class A (3yr) €	Class C (5yr) \$	Class C (5yr) €	MSCI World (€)
Dec 2007	12,643	+2.50%	+2.46%	+2.50%	+2.46%	-0.56%
Nov 2007	12,263	+3.62%	+3.55%	+3.62%	+3.55%	-5.79%
Oct 2007	12,048	+8.13%	+8.03%	+8.13%	+8.03%	+1.35%
Q4 2007		+14.84%	+14.61%	+14.84%	+14.61%	-5.06%
Q3 2007		+3.73%	+3.04%	+3.73%	+3.04%	-3.04%
Q2 2007		+7.02%	+6.67%	+7.02%	+6.67%	+4.52%
Q1 2007		+7.61%	+7.37%	+7.61%	+7.37%	+0.67%
YTD 2007		+37.18%	+35.26%	+37.18%	+35.26%	-3.15%
Annualised		+41.87%	+40.88%	n/a	n/a	+7.20%
Inception Jan 2004		+305.10%	+293.90%	n/a	n/a	+32.08%

Notes: January 1, 2004 inception except Class C (March 1, 2006). Fund performance is net of fees and expenses, includes dividends reinvested and is that of the Cayman feeder fund. Annualised figures refer to those since January 1, 2004 inception. Figures for December 2007 are estimates.

Source: Citco Fund Services (Dublin) Limited, Bloomberg LP, MSCI Barra, The Children's Investment (TCI) Fund Management (UK) LLP.

TCI Master Fund (€) vs. MSCI World (€) Since Inception



Notes: Performance for TCI Master Fund is gross of management and incentive fees and includes dividends reinvested. Figures for December 2007 are estimates.

Source: Citco Fund Services (Dublin) Limited, Bloomberg LP, MSCI Barra, The Children's Investment (TCI) Fund Management (UK) LLP.

The fund ended the quarter up just under 15% net of fees (US dollar class), returning just over 37% net of fees (US dollar class) for the year.

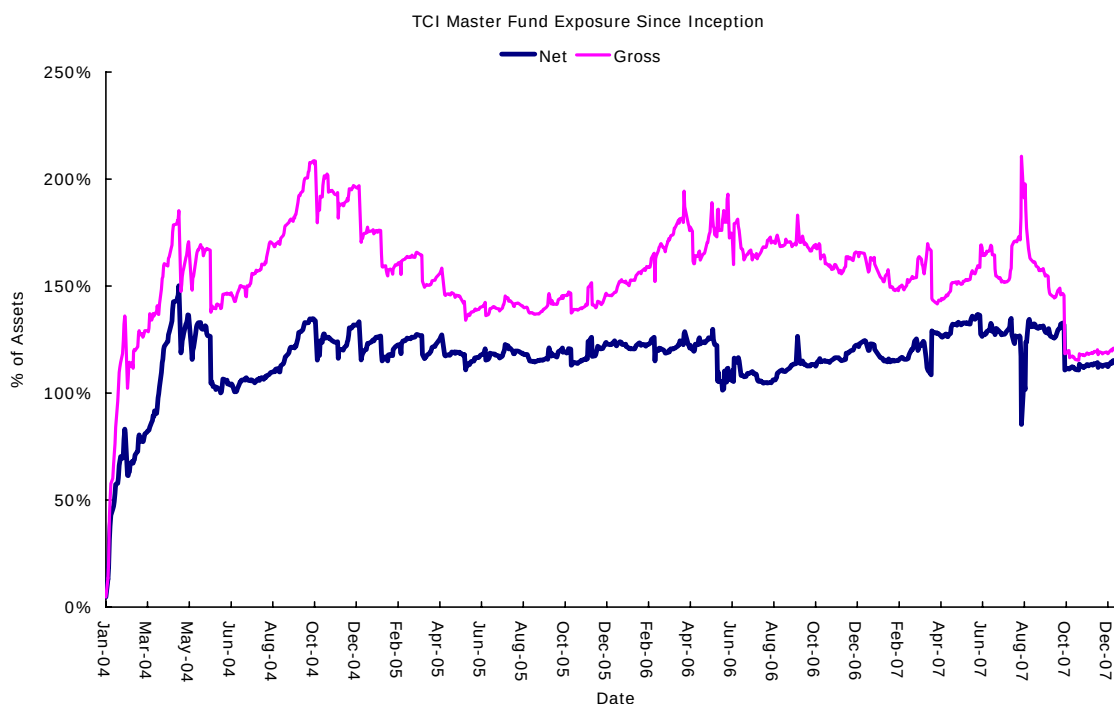
2. Key Fund Data

a. Exposure Summary

% of Master Fund Net Assets				
Period	Longs	Shorts	Gross	Net
End Dec 2007	117%	-3%	120%	114%
End Nov 2007	116%	-3%	119%	113%
End Oct 2007	113%	-2%	115%	111%
End Sep 2007	135%	-9%	144%	126%
End Aug 2007	146%	-14%	160%	132%
End Jul 2007	148%	-24%	172%	124%
End Jun 2007	148%	-16%	164%	133%
End May 2007	147%	-11%	158%	138%
End Apr 2007	137%	-10%	147%	128%
End Mar 2007	144%	-28%	166%	110%
End Feb 2007	134%	-18%	152%	116%
End Jan 2007	135%	-19%	154%	116%
End Dec 2006	144%	-20%	164%	124%

Source: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP.

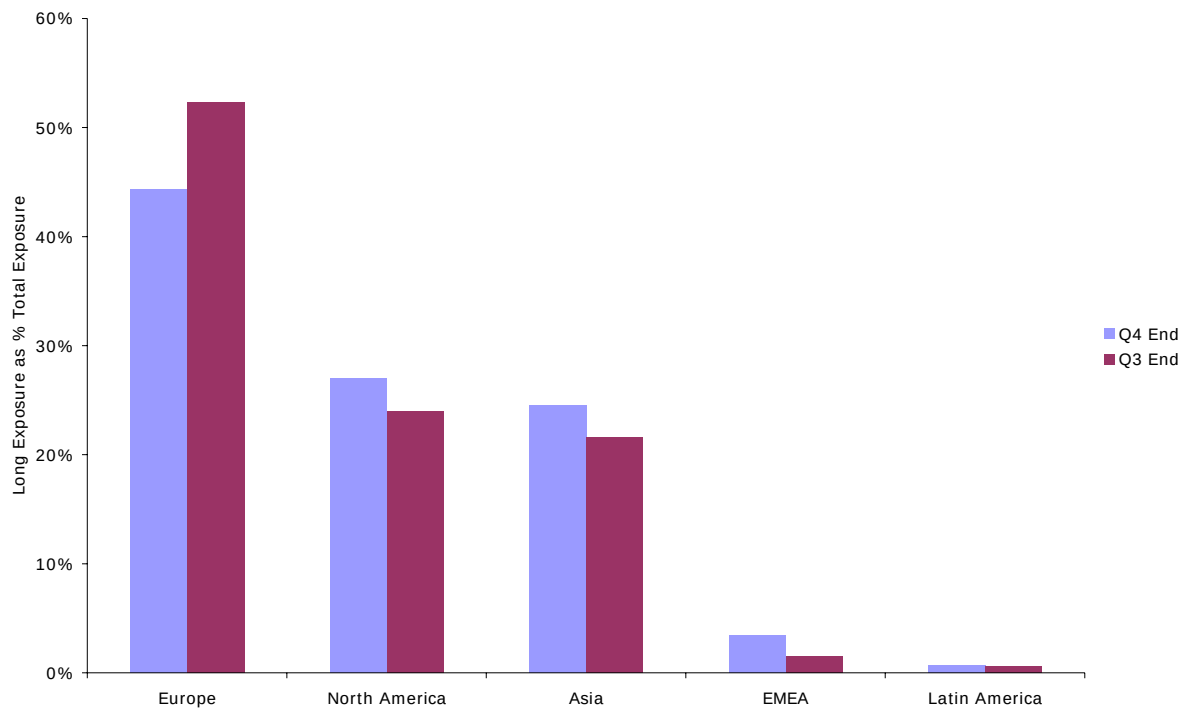
The fund's current exposure is 102% net long.



Source: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP.

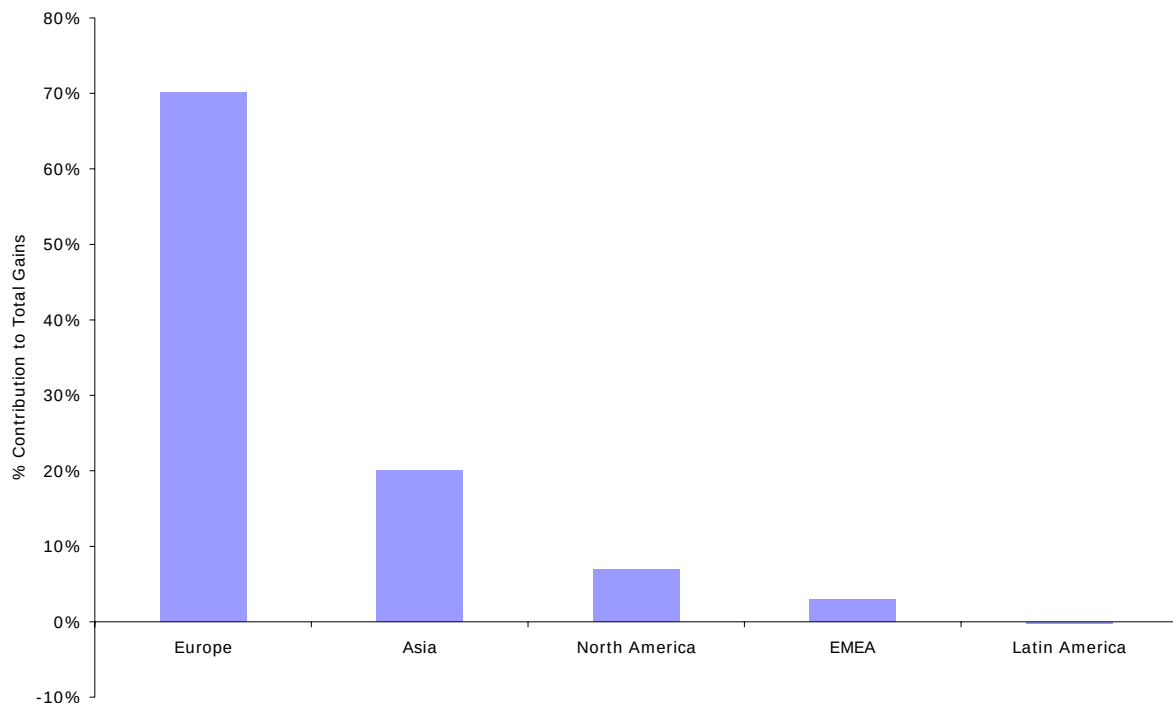
Q4 2007 saw both the net and gross exposure of the fund come down significantly relative to Q3 2007.

b. Q4 2007 vs. Q3 2007 Portfolio Geographical Exposure



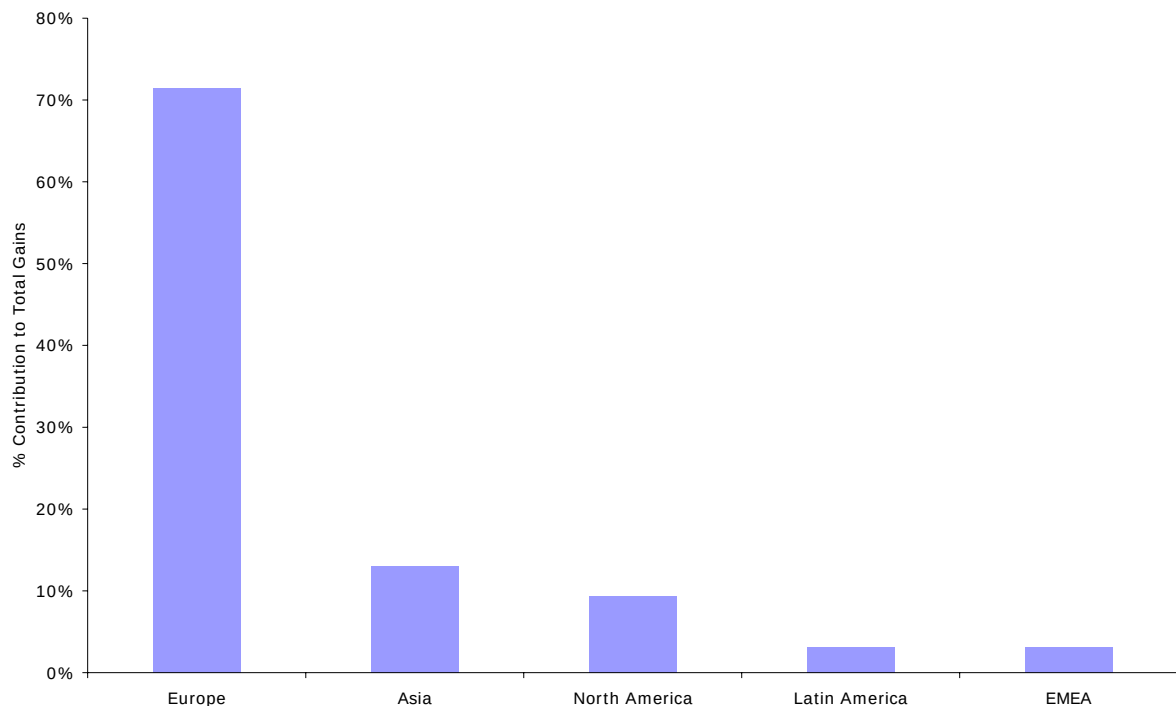
Notes: Figures calculated are re-based to a total of 100. EMEA = Emerging Europe, the Middle East and Africa.
Source: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP.

c. Q4 2007 Performance Contribution by Geography



Notes: Figures calculated are re-based to a total of 100. EMEA = Emerging Europe, the Middle East and Africa.
Source: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP.

During Q4 2007 Europe was, by far, the most significant contributor to the portfolio.

d. 2007 Performance Contribution by Geography

Notes: Figures calculated are re-based to a total of 100. EMEA = Emerging Europe, the Middle East and Africa.
Source: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP.

Once again, for the year, Europe was also the most significant contributor to the portfolio; however, all regions were positive contributors during the year.

e. Q4 2007 Performance Contribution by Position

Position	% Contribution to Gross Performance	% of Total Q4 Gross Gains
Deutsche Boerse	+10.7%	+61%
US Railways	+1.7%	+10%
Indian Banks	+1.4%	+8%
Sterlite	+0.8%	+5%
Red Electrica	+0.8%	+4%

Source: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP.

f. 2007 Performance Contribution by Position

Position	% Contribution to Gross Performance	% of Total 2007 Gross Gains
Deutsche Boerse	+20.6%	+45%
ABN Amro	+8.4%	+19%
US Railways	+5.1%	+11%
Indian Banks	+4.7%	+10%
Sterlite	+1.7%	+4%
CEMIG	+1.6%	+4%

Source: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP.

The portfolio performed strongly during the quarter on both an absolute basis (up just under 15%) and a relative basis (MSCI World equity index was down 5%). Our net returns for all of 2007 of 37% were driven by strong stock performance in all of our key positions. Although, in some cases we did not hold our whole position for a full year or may have traded around the position during the year so the share price gain is not necessarily the

same return achieved by the fund during the year, the following data illustrates some examples of this performance.

2007 total shareholder return (share price appreciation plus dividends):

Position	Total shareholder return (in local terms) over 2007
Deutsche Boerse	99%
ABN Amro	57%
Indian Banks	55%
Union Pacific	38%
CSX	29%
Sterlite	90%

Notes: Performance of these positions for the TCI Master Fund may differ to those realised in the market due to trading, and opening and closing position dates not being the January 1, 2007 and December 31, 2007; CEMIG's return is in USD.

Source: Citco Fund Services (Dublin) Limited, Bloomberg LP, MSCI Barra, The Children's Investment (TCI) Fund Management (UK) LLP.

3. Portfolio Review for Q4 2007

❑ Deutsche Boerse

Deutsche Boerse's announcement, in September, that they would cut €100m from their costs and immediately restart share repurchases as well as continued strong volume growth in cash markets and derivatives served as catalysts to drive very strong market performance of the stock. It moved up 42% during the quarter.

One of the questions that investors in exchanges frequently ask is what is the future level of volumes traded. This is, however, difficult to predict on a quarterly and annual basis. Over the last decade Eurex, which accounts for over 40% of the profit of Deutsche Boerse, has grown volumes at 23% per annum and has not had a down year. There is no guarantee that this historic trend will continue. However, it is clear to us that the drivers of growth are primarily structural although the normalisation of volatility in equity and fixed interest markets have had a materially positive volume impact during 2007.

The acquisition by Deutsche Boerse of ISE – the leading US equity options exchange with a 35% market share – closed at the end of December. Volumes for US equity options were up around 40% during 2007, illustrating the massive structural growth potential of this market. The business model of ISE is attractive because it needs limited costs to grow volumes.

We expect a significant cost reduction at Deutsche Boerse during 2008 due to (i) a stock option expense reduction as a result of a normalisation of large stock option expenses for 2007, (ii) an elimination of exceptional costs in 2007, and (iii) an announced cost reduction program of €50m in 2008 and another €50m in 2009. We estimate that cost reduction alone, even if the overall top line were flat in 2008, would give at least a 15% earnings growth in 2008 versus 2007.

Valuations across the global exchange space rallied significantly in 2007 but Deutsche Boerse remains the cheapest major exchange at just over 20x 2008 consensus earnings on current stock prices, discounting 4% long term earnings growth assuming a 9% cost of equity. We see a more realistic scenario medium-term of double digit earnings growth without capital giving a 15% per annum medium-term return.

❑ CSX

In October we sent a long letter to the board of CSX highlighting our issues related to corporate governance and the operational underperformance relative to both peers and the

potential of the company. A copy of this letter is attached herein as Appendix 3 for those of you interested in the detail. We also have a website where we post updates of our views on CSX for all investors (www.strongercsx.com).

In December, after receiving a letter from the CSX Board, which indicated to us that the Board did not intend to address our concerns, we announced, in a press release, that TCI had formed a group with 3G Capital Partners that intended to nominate five directors for election to the CSX Board at the 2008 AGM. Collectively TCI and 3G Capital hold 8.3% of the common stock of CSX and derivative securities giving economic exposure equivalent to a further 11.8% of its common stock (see Appendix 4).

The details of the five directors are contained in some detail in the appendix to this letter but they include:

- (1) Alex Behring, Managing Director of 3G and former CEO of ALL – the largest railroad in Brazil – which he and his investment group successfully turned around;
- (2) Gilbert Lamphere, a successful private investor in railroads, former director of Canadian National Railway and former Chairman of Illinois Central Railroad prior to its sale to Canadian National;
- (3) Timothy O'Toole, Managing Director of the London Underground and former CEO of Conrail, which was partially acquired by CSX;
- (4) Gary Wilson, former Chairman of Northwest Airlines and former CFO of The Walt Disney Company and Marriott Corp; and
- (5) Christopher Hohn of TCI.

Continuing weakness in the US economy is a threat to our investment thesis short-term but not in the long-term if we are correct in assuming that industrial production and GDP are not structurally negative. Volumes in the rail sector were already down circa 3% in 2007 and so comparisons are improving but a modestly down volume year is likely in 2008.

Looking past 2008 we see an excellent opportunity to make 15-20% long term returns in the US rail sector based on the thesis of strong pricing long-term, reversionary contracts and significant operational and balance sheet efficiencies.

CSX's third quarter results showed continued strong pricing, up 6.5% year-on-year. CSX also repurchased 4.8% of its stock in the quarter and showed some signs of focus on productivity improvement. We believe pressure applied by TCI is at least partially responsible for this progress. The net result was EPS increased 24% year-on-year, despite a 4% decline in volumes.

□ Union Pacific

Since early 2007 we have held a position in the Union Pacific railroad (UP) which is now material. UP is the largest railroad in America, and one of the two major railroads in the western half of the US (Burlington Northern being the other). UP's franchise extends from the west coast to around the Mississippi river, and includes more entry points to the US (ports and interchanges with Mexico and Canada) than any other US railroad.

We find Union Pacific attractive amongst the US railroads for two reasons. First, there is a major reversion of pricing from large legacy contracts of coal and other products which will occur over the next five years, giving UP a substantial and predictable earnings uplift.

Second, we believe UP's management is focused on the operational improvement potential of the business and driven to close the gap between UP and its peers.

UP's operating margin is lower than its peers, being depressed by legacy contracts and operational inefficiencies. We have met with senior UP management several times at the company headquarters in Omaha, Nebraska and have confidence that this management team will continue to be disciplined on pricing and costs. The strong cost discipline is already showing results; over the last twelve months UP's costs per unit have increased only 2.5% (vs. 6% for CSX and 5% for Burlington Northern).

UP's third quarter results were very solid. Pricing continued to be strong (+5% year-on-year), and management succeeded in reducing costs 2% despite a 1% increase in volumes. The net result was EPS increased 30% year-on-year.

As discussed in the CSX summary, continued weakness in the US economy will be a headwind for the US railroads. However, we believe the reversionary pricing and operational improvements will allow UP to improve earnings significantly over the long term despite economic softness.

□ Indian Banks

During November I made a trip to India for a week to meet the management of our Indian investments and to see again, first hand, the economic momentum of the country. The bottom line was clear – our Indian bank holdings should be excellent long-term holdings as they grow top line and earnings by 20%+ for a long time to come. Despite strong stock performance this year they generally remain on single digit P/E multiples.

The key points that came out of the meetings were that management are very focussed on profitability and running the companies for shareholder value. They care about margins as much as top line. Fee income growth, which needs little or no capital, is also a consistent priority. The management and government recognise that without strong profitability they will not generate the capital needed to grow their loan book without the dilution of capital increases. Since the government typically has 51% holdings and will not give up control, this is of significant relevance in increasing the motivation of the management and government to drive results.

We also met with the senior government civil servant who manages its bank investments day to day. It is clear that the government is managing its holdings much more aggressively than we had previously assumed. The government require rigorous targets and business plans, accountability of management and are more than willing to terminate management that fail to deliver.

□ J-Power

In November, we stepped up pressure on management to improve shareholder value. In particular, we wrote a detailed letter to the President of the company outlining management's poor track record as demonstrated in the company's declining realised ROE and ROA, higher Director compensation in the face of declining performance, as well increased cross-share ownership which reduces management accountability. We also requested that TCI be given two board seats out of thirteen to improve corporate governance and monitoring.

We campaigned widely and publicly on these issues, and received extensive coverage in local press, TV and business publications with several commentators publicly supporting our quest to improve company corporate value. Being a consensus driven country, this put pressure management who tried to publicly defend their performance and in effect engaging

on these issues. We also have a Japanese website (www.tcifund.jp) where we share our work and analyses publicly.

J-Power is currently trading on a 15% FCF yield before growth capex, versus Japanese bond yield of 1.5% and, thus, represents an extremely attractive valuation. We have various plans for 2008 that we believe can see this value realised over time.

□ Other Investments

For competitive reasons we think that is in all investors' interests that we do not detail all of our new or existing investments since we may choose to add to or sell these at any point.

Examples of undisclosed positions that we have invested in during the last quarter are the following:

- (a) A large cap mining company with a 10-12% normalised free cash yield which also owns a utility company being valued at zero that we estimate to be worth 50% upside to the stock price;
- (b) A large cap property company in one of the richest countries in the world with a dominant market position trading at half NAV and offering long term 20% per annum returns;
- (c) A large cap oil and gas company with an 8% free cash yield which should normalise to 20% over the next five years;
- (d) A large cap global building materials company with two thirds emerging market exposure trading at 10x this year's free cash flow falling to 8x by 2010;
- (e) An Asian infrastructure monopoly with a long term 15% IRR; and
- (f) An Asian property company trading at a 40% discount to NAV and growing NAV consistently by being dominant in their niche.

4. Review of 2007

2007 was one of the best ever years for the firm in terms of alpha generation in spite of the tremendously difficult conditions brought on by the sub-prime and banking crisis that swept through financial markets in August.

Our strategy of concentrated long-biased investing paid off again with our largest holdings of Deutsche Boerse, ABN Amro, the US rails and Indian banks all performing extremely strongly.

We did not add value on shorts and feel that this is an area that we have neglected too much and will try to address, particularly with the help of some new hires which we have made recently.

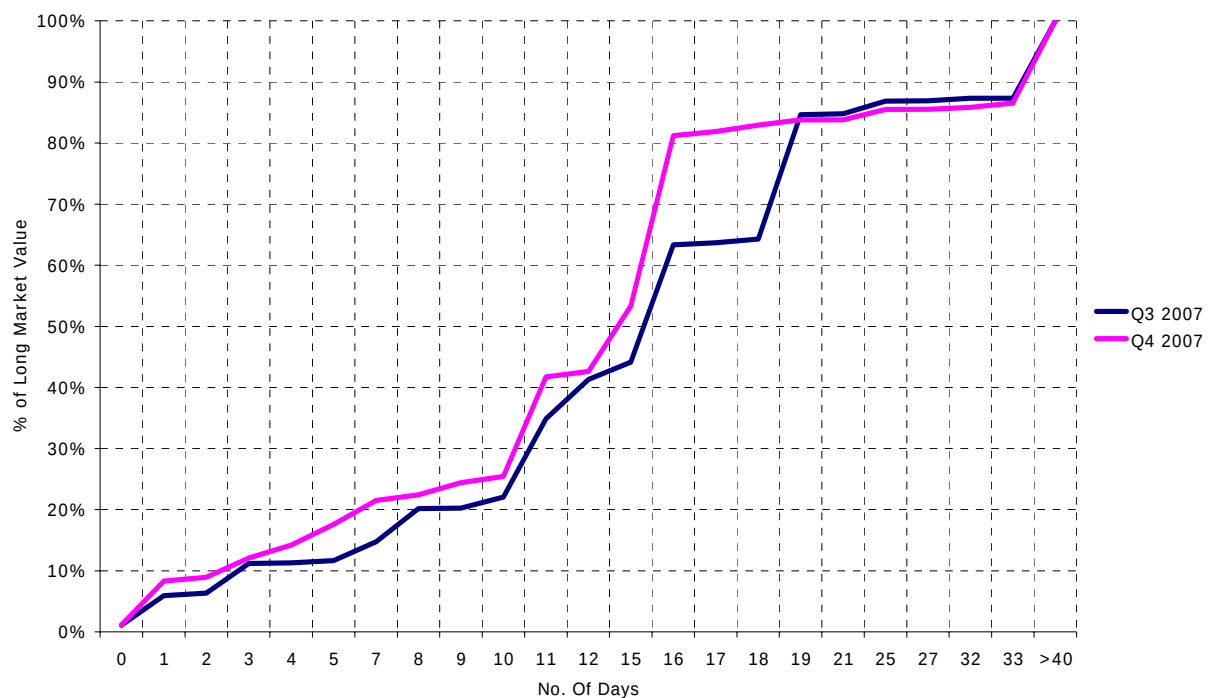
5. Outlook for 2008

We enter 2008 with a reasonably bleak economic outlook in the US and the risk of a slowdown in Europe. Emerging markets stock markets have also performed extremely well over the last few years. Valuations of most major indices look reasonable to us, especially relative to bond yields which remain extremely low at around 4% in Europe and the US.

However, it would not surprise us if this year proves hostile to equity markets and with our strategy it may be difficult for high returns to be achieved if there is a significant bear market for equities. The risk of heavily hedging our book with indices is that we suffer basis risk due to the concentrated nature of our stock holdings. Our preferred strategy is to run with lower gross and net exposures than in times when we are more confident of the world economies. We continue to focus as our core strategy on high barrier to entry businesses that we believe will give us long-term returns of 15% per annum.

6. Liquidity Analysis

TCI Master Fund Liquidity Profile Q4 2007



Notes: Liquidity is based on the average three-month trading volume data from Bloomberg assuming 100% of trading. Analysis is based upon long positions only.

Source: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP.

The fund's liquidity improved between Q3 2007 and Q4 2007.

7. Supplement to the Offering Memoranda

In October we sent all investors a supplement notifying them of the following three changes since the last offering memoranda was approved by investors for effect November 1, 2007:

Firstly, a change in the base currency of the Master Fund and the Ltd Feeder Fund from Euro to US Dollars effective January 1, 2008, which will substantially reduce the need for hedging which will thereby greatly reduce FX hedging costs and risks of errors for the fund.

Our reasoning behind this was the following: (a) Today we have a similar amount of US Dollar assets versus Euro assets. We have a truly global mandate and we would expect to have material exposures in assets in Euros, US Dollars and Asian currencies going forward at the Master Fund level; and (b) The vast majority our investors are invested in the US Dollar class from January 1, 2008. It is expected that the impact on returns for either the US Dollar or Euro class investors will not be affected in any material way as a result of this change of base currency, although there can be no assurance that any currency hedging in

respect of Euro or US Dollar share classes is effective. The change in base currency means that Euro shareholders will have some share class hedging costs and that US Dollar shareholders will not have any, but we expect such costs to be immaterial.

Secondly, to inform you that the Master Fund has appointed HSBC Bank plc as a custodian effective November 22, 2007; This is part of our continued work to both reduce and diversify counterparty risk.

And, thirdly, to bring to your attention that the Master Fund will issue a separate class of shares to the Segregated Fund that will incorporate the rights of the Segregated Fund as has been described in the offering memoranda that were approved by investors and effective from November 1, 2007.

8. Investor Days

The 2008 TCI and TCI Affiliates Investor Days will be held at The Waldorf Astoria in New York. The dates will be June 16th for TCI Affiliates and June 17th for TCI. Invitations and registration details will be sent out in due course.

9. The Firm

During Q4 2007, Cathy O'Reilly resigned her position as COO to spend more time with her daughter and family. We are currently in discussions with possible candidates for this role. This has had no impact on our business as we have a strong Management Committee managing all business management, middle and back office functions of the firm.

In October Fernando Delgado joined us from Cazenove where he was a senior equity research analyst covering European securities. He will continue to work in this role with TCI.

10. TCI Affiliated Investment Managers

a. Algebris

The Algebris Global Long/Short Financials Fund, was up 51% for 2007, taking its performance to 62% since its October 2006 inception. The fund was open during Q4 2007 but is now closed with US\$2.7bn of assets.

b. KDA Capital

KDA, the long only absolute return fund focusing on mid- and large-cap European equities, with a philosophy focused around change, had a flat 2007. It is up 42% since its December 2005 inception. The firm's assets are now \$1.7bn and the fund is closed.

c. Parvus

Parvus, the fundamental European equity manager, that takes concentrated positions in out-of-favour undervalued stocks operating in attractive industries, was up 10% in 2007 (127% since its October 2004 inception) for its long/short fund. For its long only fund it was up 12% for the year (153% since its November 2004 inception). The firm runs \$3.5bn in assets and all funds are currently closed.

For information on the TCI and its affiliates please contact Rahul Moodgal at rahul@tcifund.com or on +44 20 7440 2384.

Conclusion

We have now completed four full years of business, since we started the fund on January 1st 2004. We are proud of what we have achieved for our investors, our partners and our staff, and CIFF. Our fund has delivered net returns of an average of just under 42% per annum over the four year period (every \$1 invested day one is now worth \$4) and created a large charitable foundation. We remain focussed on continuing to deliver good returns for our investors and preserving their capital from permanent loss. Our expectations are that returns in the future will be lower than in the past and we also anticipate that capital return is inevitable. We thank you for your continued support of TCI.

Christopher Hohn
Managing Partner

January 2008

Appendix 1 – Top Long Positions

Top Long Positions at Year-End – Q4 and 2007 Trading Gains / Losses

Outright Long	Country	Market Cap (\$bn)	% Contributed To Q4 2007 Gross Performance	% Contributed To 2007 Gross Performance
Deutsche Boerse	Germany	39	+10.7%	+20.6%
US Railways	United States	>20	+1.7%	+5.1%
Indian Banks	India	2-20	+1.4%	+4.7%
Intesa San Paolo	Italy	99	-0.1%	-0.1%
Link REIT	Hong Kong	5	+0.1%	+0.7%
Total			+13.8%	+31.0%

Source: Citco Fund Services (Dublin) Limited, The Children's Investment (TCI) Fund Management (UK) LLP.

Appendix 2 – TCI Fund Performance Since Inception

Period	Assets (€m)	Class A (3yr) \$	Class A (3yr) €	Class B (5yr) \$	Class B (5yr) €	Class C (5yr) \$	Class C (5yr) €	MSCI World (€)
Jan 2004	375	+1.36%	+1.44%	+1.41%	+1.49%			+2.24%
Feb 2004	532	+5.08%	+5.09%	+5.26%	+5.27%			+1.43%
Mar 2004	554	+2.75%	+2.93%	+2.78%	+2.97%			+0.54%
Q1 2004		+9.44%	+9.73%	+9.71%	+10.01			+3.14%
Apr 2004	735	+3.70%	+3.88%	+3.77%	+3.92%			+0.52%
May 2004	872	+0.40%	+0.45%	+0.43%	+0.47%			-1.05%
Jun 2004	1,081	+2.82%	+2.86%	+2.90%	+2.93%			+1.81%
Q2 2004		+7.05%	+7.33%	+7.23%	+7.47%			+1.26%
Jul 2004	1,088	-0.24%	-0.20%	-0.24%	-0.20%			-1.89%
Aug 2004	1,114	+0.85%	+0.94%	+0.88%	+0.97%			-1.10%
Sep 2004	1,173	+4.86%	+4.90%	+5.00%	+5.05%			-0.30%
Q3 2004		+5.50%	+5.67%	+5.67%	+5.86%			-3.31%
Oct 2004	1,187	+2.35%	+2.34%	+2.41%	+2.41%			-0.53%
Nov 2004	1,435	+4.93%	+5.09%	+5.31%	+5.24%			+1.29%
Dec 2004	1,589	+6.94%	+6.86%	+7.13%	+7.05%			+1.62%
Q4 2004		+14.85%	+14.93%	+15.54%	+15.37%			+2.39%
2004		+41.95%	+43.04%	+43.65%	+44.39%			+3.40%
Jan 2005	1,960	+6.45%	+6.51%	+6.68%	+6.75%			+1.56%
Feb 2005	2,265	+3.80%	+3.83%	+3.90%	+3.99%			+1.53%
Mar 2005	2,275	-1.07%	-1.04%	-1.07%	-1.09%			-0.18%
Q1 2005		+9.32%	+9.44%	+9.65%	+9.80%			-1.55%
Apr 2005	2,502	-0.02%	-0.05%	-0.02%	-0.05%			-1.70%
May 2005	2,856	+3.46%	+3.46%	+3.59%	+3.59%			+6.21%
Jun 2005	3,271	+6.15%	+6.15%	+6.35%	+6.34%			+2.34%
Q2 2005		+9.80%	+9.77%	+10.14%	+10.10%			+6.75%
Jul 2005	3,624	+4.47%	+4.41%	+4.61%	+4.54%			+3.30%
Aug 2005	3,754	+2.03%	+1.88%	+2.08%	+1.94%			-1.26%
Sep 2005	4,055	+7.11%	+7.03%	+7.31%	+7.23%			+5.20%
Q3 2005		+14.17%	+13.86%	+14.59%	+14.27%			+7.30%
Oct 2005	4,050	-3.68%	-3.80%	-3.77%	-3.90%			-2.21%
Nov 2005	4,605	+5.06%	+5.06%	+5.20%	+5.19%			+4.93%
Dec 2005	5,421	+7.92%	+7.72%	+8.12%	+7.91%			+1.62%
Q4 2005		+9.21%	+8.86%	+9.45%	+9.08%			+4.27%
2005		+49.66%	+48.90%	+51.48%	+50.68%			+17.58%
Jan 2006	5,782	+6.38%	+6.10%	+6.61%	+6.32%			+1.77%
Feb 2006	6,012	+3.97%	+4.15%	+4.12%	+4.05%			+1.68%
Mar 2006	6,809	+3.72%	+3.27%	+3.84%	+3.63%	+3.65%	+3.44%	+0.30%
Q1 2006		+14.71%	+14.11%	+15.26%	+14.64%	+3.65%	+3.44%	+3.79%
Apr 2006	7,183	+5.91%	+5.64%	+6.10%	+5.82%	+5.80%	+5.54%	-1.33%
May 2006	6,225	-9.18%	-9.11%	-9.64%	-9.39%	-9.56%	-9.57%	-5.03%
Jun 2006	6,767	+3.38%	+3.27%	+3.71%	+3.39%	+3.96%	+3.93%	-0.03%
Q2 2006		-0.56%	-0.84%	-0.57%	-0.87%	-0.53%	-0.81%	-6.45%
Jul 2006	7,495	+3.75%	+3.61%	+3.87%	+3.72%	+3.68%	+3.54%	+0.73%
Aug 2006	7,828	+3.71%	+3.50%	+3.83%	+3.60%	+3.37%	+3.43%	+2.02%
Sep 2006	7,843	+0.03%	-0.12%	+0.03%	-0.12%	+0.00%	-0.12%	+2.18%
Q3 2006		+7.63%	+7.11%	+7.88%	+7.32%	+7.17%	+6.96%	+5.00%
Oct 2006	8,307	+4.01%	+3.88%	+4.13%	+3.99%	+3.72%	+3.29%	+2.89%
Nov 2006	8,615	+3.04%	+2.93%	+3.13%	+3.01%	+2.99%	+2.88%	-1.45%
Dec 2006	8,945	+5.63%	+5.53%	+5.78%	+5.69%	+5.54%	+5.44%	+2.29%
Q4 2006		+13.21%	+12.84%	+13.60%	+13.22%	+12.74%	+12.05%	+4.33%
2006		+38.99%	+36.76%	+40.45%	+38.08%	+24.57%	+22.97%	+6.36%
Jan 2007	9,460	+2.05%	+1.99%	+2.12%	+2.05%	+2.05%	+1.99%	+2.52%
Feb 2007	9,474	-1.25%	-1.27%	-1.29%	-1.31%	-1.25%	-1.27%	-2.30%
Mar 2007	10,145	+6.78%	+6.63%	+7.02%	+6.86%	+6.78%	+6.63%	+0.51%
Q1 2007		+7.61%	+7.37%	+7.88%	+7.62%	+7.61%	+7.37%	+0.67%
Apr 2007	10,762	+4.99%	+4.81%	+5.17%	+4.98%	+4.99%	+4.81%	+1.94%
May 2007	11,151	+4.38%	+4.30%	+4.52%	+4.46%	+4.38%	+4.30%	+4.15%
Jun 2007	10,971	-2.34%	-2.43%	-2.41%	-2.51%	-2.34%	-2.43%	-1.56%
Q2 2007		+7.02%	+6.67%	+7.27%	+6.91%	+7.02%	+6.67%	+4.52%
Jul 2007	11,056	+0.98%	+0.86%	+1.02%	+0.89%	+0.98%	+0.86%	-3.39%
Aug 2007	10,123	-5.97%	-6.14%	-6.16%	-6.35%	-5.97%	-6.14%	+0.15%
Sep 2007	11,308	+9.24%	+8.85%	+9.56%	+9.16%	+9.24%	+8.85%	+0.21%
Q3 2007		+3.73%	+3.04%	+3.86%	+3.13%	+3.73%	+3.04%	-3.04%

Private and Confidential

Oct 2007	12,048	+8.13%	+8.03%	+8.37%	+8.31%	+8.13%	+8.03%	+1.35%
Nov 2007	12,263	+3.62%	+3.55%	+3.72%	+3.67%	+3.62%	+3.55%	-5.79%
Dec 2007	12,643	+2.50%	+2.46%	+2.56%	+2.54%	+2.50%	+2.46%	-0.56%
Q4 2007		+14.84%	+14.61%	+15.28%	+15.14%	+14.84%	+14.61%	-5.06%
YTD 2007		+37.18%	+35.26%	+38.56%	+36.62%	+37.18%	+35.26%	-3.15%
Annualised		+41.87%	+40.88%	+43.45%	+42.34%	n/a	n/a	+7.20%
Inception Jan 2004		+305.10%	+293.90%	+323.46%	+310.55%	n/a	n/a	+32.08%

Notes: January 1, 2004 inception except Class C (March 1, 2006). Fund performance to end of 2006 is net of fees and expenses, includes dividends reinvested and is that of the Cayman feeder fund. Figures for December 2007 are estimates.

Source: Citco Fund Services (Dublin) Limited, Bloomberg LP, MSCI Barra, The Children's Investment (TCI) Fund Management (UK) LLP.



October 16, 2007

Board of Directors
CSX Corporation
500 Water Street
Jacksonville, FL 32202

Dear Board of Directors:

As you are aware, The Children's Investment Master Fund (TCI) is a long-term, value-oriented investment fund that currently owns 17.8 million shares, or 4.1% of CSX. This makes TCI one of CSX's largest shareholders. TCI is an engaged, long-term investor with a track record of helping companies reach their potential with management's cooperation, or without it. While some investors seek short-term gains, TCI has a long-term view – our outlook is decades, not years, or months, or weeks.

Over the past year we have repeatedly, but unsuccessfully, attempted to engage in a constructive dialogue with the Board and top management of CSX on concerns we have about the business. Except for a single 'one-on-one' meeting with Oscar Munoz, top management and the Board have refused all our offers to meet privately. Over the past few months, CSX has refused even to return our calls or to allow us to attend meetings at CSX with an analyst and other investors.

Instead CSX management has opted to communicate through a paid advertising campaign and an abbreviated investor day. The investor day reaffirmed to us the weakness of the CSX management team and strategy. We conclude this weakness must be made public as our attempts to discuss it privately have consistently been rebuffed. We do so in the interest of TCI investors, as well as CSX employees, customers and shareholders.

It is our view that CSX management does not fully understand the economics of the business, is cavalier about potential risks, is undisciplined about spending, is unrealistic about future prospects, is complacent about operational under-performance and is unnecessarily adversarial towards labor, shippers and shareholders. We hold the Board accountable for these failings.

We have a simple long-term desire – a stronger CSX. CSX has the potential to be the leading railroad in the United States – providing the best service, running the safest network, generating the highest returns and thus able to invest to fully meet America's freight transportation needs now and in the future. CSX's legacy dates back to America's first railroad; it should return to its rightful place as America's best.

Unfortunately, the glaring and unavoidable fact is that on virtually every major metric of operational and financial performance, CSX today is last or near last among the five major North American railroads. Perhaps the only exception is executive compensation – Michael Ward made \$36 million over the past two years, the highest compensation of any CEO in the industry.

The Children's Investment Fund Management (UK) LLP is a limited liability partnership registered in England and Wales with registered number OC304797. A list of members' names is open to inspection at its registered office and principal place of business 7 Clifford Street, London, W1S 2WE, England. The Children's Investment Fund Management (UK) LLP is authorised and regulated by the Financial Services Authority.



The issues at CSX are real, meaningful, and addressable. We therefore urge the Board to act immediately and act voluntarily to strengthen CSX's corporate governance, management, business performance, and the Board itself. The Board should:

- o Separate the Chairman and CEO roles
- o Refresh the Board with new independent directors
- o Allow shareholders to call special shareholder meetings
- o Align management compensation with shareholder interests
- o Provide a plan to improve operations
- o Justify the capital spending plan
- o Promote open and constructive relations with labor, shippers and shareholders

Failure to take these actions would, in our opinion, be negligent of your duty to shareholders.

We urge the Board to be open-minded as it reads this letter as we share a common goal – to ensure that CSX is a strong and viable company able to provide the service that its shippers demand, a working environment that its employees can be proud of, and the returns that its shareholders deserve. Achieving operational excellence and maximizing shareholder value are inextricably linked, not mutually exclusive.

We also urge open-mindedness as the views and frustrations expressed in this letter are widely held. Relations with labor, shippers and shareholders are strained. The Board should question whether the views of so many constituencies could really be wrong. The Board should also question why Warren Buffett, a legendary investor known for identifying and backing good management teams, has chosen to invest in each of the major US railroads, except CSX.

Not open to question is the fact that CSX lags its peers on almost every major operational and financial metric. It is not just the fact that CSX ranks poorly on these metrics that causes us concern. It is the fact that management refuses to acknowledge the underperformance, discuss it with shareholders, or present a plan to address it.

The Board should know that TCI is also a shareholder in other US railroads. However, the other management teams have been willing to engage in an open and constructive dialogue with us, through which we have gained confidence in their abilities and strategies. We had hoped for a similarly constructive relationship with CSX.

CSX has a long and rich tradition. It is an essential part of America's infrastructure and commerce. It is a vital artery for thousands of businesses, large and small. It is the fruit of labor and source of livelihood of tens of thousands of workers. It helps fund retirements, scholarships and the lives of hundreds of thousands of investors through pension funds, university endowments and personal investment accounts. A CSX that operates at anything less than its fullest potential is a disappointment and disservice to all.

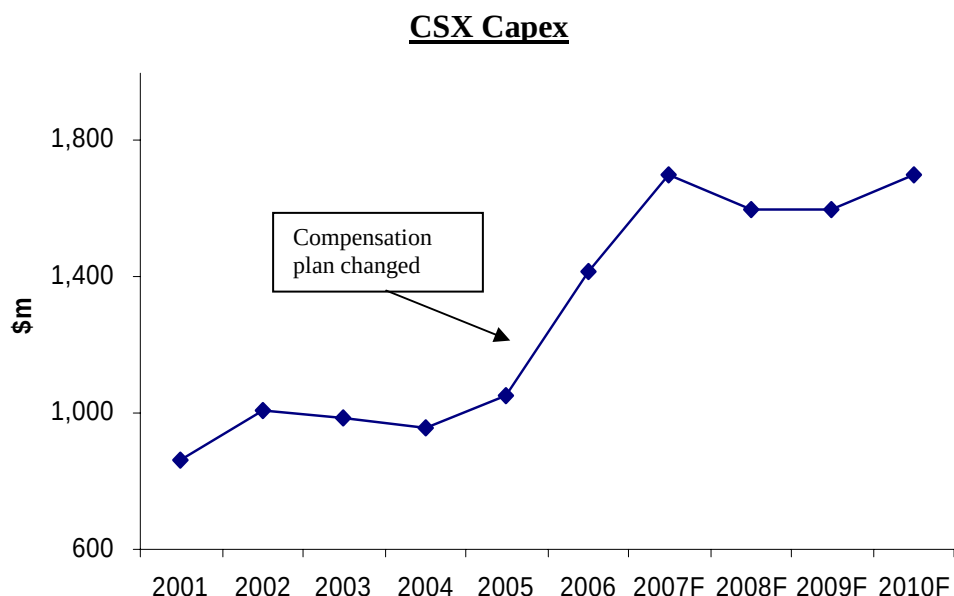


I. Corporate Governance

Sound corporate governance is essential to successful performance – it provides checks and balances, accountability and aligned incentives. Corporate governance at CSX is lacking in all of these criteria and shareholder confidence in the Board needs to be restored. We therefore ask the Board to take the following actions:

- **Separate the Chairman and CEO Roles.** This is widely recognized as a ‘best practice’ in corporate governance; how can a Chairman independently question his own failings as a CEO? Further, we believe Michael Ward’s interests are not reflective of and not aligned with CSX shareholders. His comments in a recent Bloomberg interview are telling – in response to a question on how CSX would spend its cashflow, he drew an analogy to a farmer winning the lottery who, when asked how he would spend the winnings, answered that he would “keep farming *until every penny of it is gone.*” The farmer may do as he wishes with his own money, but Michael Ward is managing ours – the shareholders’. We fear he wants to spend everything he can, whether it creates shareholder value or not. His consistent personal sales of CSX stock while increasing CSX’s spending speaks volumes, as if to say “this spending is good enough for your [shareholder] capital, but not good enough for mine.”
- **Change Board Composition.** While one independent director has some railroad background, not a single independent director has direct railroad management experience, leaving the Board unable to credibly challenge management. In addition, over half of the independent directors have been on the Board for over a decade, leading us to question their independence, as does the fact that our requests to the Board to discuss concerns about management were flatly denied. Who should shareholders speak to on these issues if not the independent members of the Board? The Board needs to be refreshed with new independent directors acceptable to large shareholders, including TCI, who not only respect and invite the views of shareholders, but also have the railroad or other relevant business expertise to challenge management, and the courage to do so. Shareholder confidence in the Board needs to be restored.
- **Allow Shareholders to Call Special Meetings.** At CSX’s most recent annual shareholder meeting, shareholders voted *overwhelmingly* (nearly 2.3 votes in favor for every 1 vote against) in favor of amending the bylaws to allow shareholders to call special meetings, and yet the Board has failed to act on this. We believe the threshold should be set at 10% for any individual or group of shareholders. Michael Ward said at the investor day that allowing shareholders to call special meetings was still under consideration by the Board. We view this statement as disingenuous – it does not (or certainly should not) take five months to make this decision. In fact, the Board has found the time to amend the bylaws twice since the shareholder meeting, including incorporating the majority voting resolution, which passed by a much smaller margin (only 1.3 votes in favor for every 1 vote against). If the Board has decided to ignore the views of its shareholders, it should immediately make that decision public. Ignoring the issue, or the shareholders who care about it, is poor corporate governance, and unwise.

- Align Management Compensation with Shareholder Interests.** Shareholder value is created by increasing returns on capital, and that is how management should be compensated. In fact, that is largely how they are compensated at the four other large Class I railroads. However, at CSX long-term executive compensation is now predominantly tied to the company's operating ratio. Improvements in the operating ratio can be 'gamed' by accounting adjustments or re-allocations from operating costs to capex, and 'bought' by investing in projects that would directly or immediately improve the operating ratio instead of projects that earn the best risk-adjusted returns on capital. For example, it provides a clear incentive to buy assets instead of lease them, irrespective of which is better economically¹. We note that since the Board changed compensation away from free cash flow, CSX's annual capex budget has increased by over 50%.



¹ The \$200 million project highlighted at the investor day to replace leased with owned locomotives illustrates this point. There are two effects from this that improve the operating ratio. First, it will move the financing component of lease expense (currently an operating cost) to interest expense. Second, the lease term is typically shorter than the depreciable life, so lease expense is being replaced by a smaller depreciation expense. These effects would occur irrespective of whether the transaction truly created shareholder value. Therefore management would be able to improve the operating ratio, and increase its compensation, despite not creating shareholder value.



II. Operational Improvement

CSX is not a well run railroad in our opinion. Unlike management, TCI does not benchmark relative to history and claim success; we benchmark relative to potential and assess failure. As you can see below, CSX is last or near last among the five major North American rails on almost every key operational metric (ranking is best at top to worst at bottom)².

Velocity	Dwell Time	Accident Rate	Labor/Sales	Cost Inflation	Cost / Unit Inflation
CN	CN	NSC	CN	CN	CN
BNSF	NSC	CN	BNSF	NSC	NSC
UP	BNSF	CSX	NSC	UP	UP
NSC	CSX	BNSF	UP	CSX	BNSF
CSX	UP	UP	CSX	BNSF	CSX

While the type of network can make a difference, this chart makes clear that CSX's underperformance is not due to its network type – there is one of each type of railroad (eastern, western and Canadian) that consistently outperforms CSX. The issue is management. This is our belief, the belief of nearly every ex-railroad (including ex-CSX) executive and employee we have spoken with, the belief of nearly every railroad research analyst, and it is what the data shows. We simply cannot ignore all of these views and facts. The following from industry analysts sum up well what we believe is a commonly shared view:

"...we see no reason why initiatives at CSX cannot result in substantially better margins. A failure to achieve such margins over time could suggest it is more an issue of management." William Greene, Morgan Stanley

"We think ~6% price increases and mid-single digit y/y gains in average train speeds and terminal dwell should be generating more operating margin improvements than we've seen so far. There's still a lot of fat on this pig." Rick Paterson, UBS

A well run business with sound corporate governance would never be referred to as a 'pig.' The fact that CSX is because of its weak management is tragic. CSX is a coveted franchise with a storied history – the Board shouldn't tarnish this by giving anyone reason to refer to the company in this way.

While the underperformance is dramatic, management's refusal to acknowledge it compounds our concern. At the investor day, management once again failed to provide any specific long-term operating targets. Management's operating ratio target (low-to-mid 70s operating ratio by 2010) can be achieved by price increases alone, as the following analysis illustrates. This leaves

² TCI Analysis. Based on publicly available data for 12 months ended June 30, 2007. Cost inflation is based on operating expenses excluding fuel and depreciation.



us to conclude that management has no plan to improve the operations, or at least not a plan they can be held accountable for by shareholders.

	2007	2008	2009	2010
Revenue	10.0	10.6	11.1	11.7
<i>price growth</i>		5.5%	5.5%	5.5%
<i>volume growth</i>		0%	0%	0%
Operating expenses	(7.8)	(8.0)	(8.3)	(8.5)
<i>cost inflation</i>		3.0%	3.0%	3.0%
Operating income	2.2	2.5	2.9	3.2
Operating ratio	78%	76%	74%	73%

The analysis set forth above assumes *no* volume growth, *no* earnings contribution from growth investment and *no* productivity or efficiency improvement. Nevertheless, the operating ratio achieves management's 'low-to-mid 70s' target by 2010³.

The lack of spending discipline seems to us to be cultural. Take for example the fact that every major US railroad has responded in some way to the current soft environment, except CSX. Norfolk Southern, already noticeably more efficient than CSX, cut operating costs so that in H1 2007 they were actually 2% *below* the absolute level of costs in H1 2006, despite inflation; in contrast, CSX's costs are *up* 4% in the same comparison. Burlington Northern *cut* its 2007 capex budget *twice* (in contrast, CSX *raised* its capex budget *twice*). Union Pacific has managed to keep cost growth lower than CSX despite having much stronger volumes.

The inescapable conclusion is whatever CSX is doing, it could be doing it better and its competitors, in fact, are. Since Michael Ward was appointed CEO, the gap in operating ratio between CSX and both Norfolk Southern and Canadian National, the industry leaders, has actually widened. Yet somehow the Board has found it acceptable to make Michael Ward the highest compensated CEO in the industry over the past two years. We must question the Board's judgment.

While we recognize that CSX's share price has performed well over the past several years, and its operations have improved, we note that both improvements are off of a low base; this low base seems largely attributable, to us, to poor execution of the Conrail integration. As a senior manager at CSX over the past decade, and in particular as the VP responsible for the Conrail merger planning and integration, Michael Ward was at least partly responsible for CSX being at that low base in the first place. It seems irrational to us to reward someone merely for making some progress towards getting the company out of a mess he was largely responsible for getting the company into. Frankly, a similar logic could be applied to longstanding members of the Board.

³ TCI Analysis. Pricing assumption based on an extrapolation of management guidance.



We therefore recommend the Board and management take the following actions:

- **Present to shareholders a detailed and credible plan to improve operations.** Investors need both a clear idea of management's view of the potential to improve the business as well as yardsticks to judge their ability to execute on their plan. This requires a detailed operating plan with specific long-term operational and cost targets, not simply operating ratio targets (as the operating ratio is impacted by both price and operations).
- **Re-evaluate the absolute levels of management compensation.** In addition to changing the primary metric on which compensation is based, the Board should consider whether the absolute levels of payouts are reasonable. To be clear, we have no issues with managements being well paid. However, we have serious issues with managements being overpaid (i.e., well paid but under-delivering).

III. Returns on Capital

Does the Board really believe CSX is close to earning its cost of capital? Economically, CSX earns just a 1-3% return on its capital, not the ~9% management proclaimed at their investor day⁴. While return on invested capital (ROIC) may be used for accounting or regulatory purposes (inappropriately we believe), it shouldn't be the focus of dialogue between management and shareholders if it doesn't reflect economic reality. In this case, it certainly does not. We are therefore surprised that management chose to focus on ROIC and disappointed that we as shareholders, instead of the Board or management, must explain how to evaluate true economic returns for the company you are entrusted to manage. We question whether CSX management understands the economics of the business. If they do, they are being disingenuous in asserting they have 'earned the right to spend' because CSX is close to earning its cost of capital; obviously this claim cannot be made on the true returns.

Returns must be calculated on the fair value of the capital today. This is best approximated by replacement value, which we estimate is close to \$100 billion for CSX, as opposed to the approximately \$16 billion management uses as a capital base. The \$16 billion is the invested capital *at historic cost* as opposed to at today's cost. Why does management, and the Board, believe CSX should earn a fair return only on the historic cost of its land and network as opposed to the value of that land and network today? You cannot buy the land for the same price as you could in the 1800s, nor can you buy locomotives for the same price as you could 30 years ago, nor can you replace rail for the same price as you could 20 years ago. Using historic cost is the same flawed logic as a landlord charging rent on a 100 year-old home based on what it cost to buy the land and build that home 100 years ago, as opposed to a rent based on the value of that home today.

⁴ CSX earns a taxed-EBIT of roughly \$1.3 billion, which is a 1% return on the \$100 billion replacement value we estimate. No matter how one calculates replacement value, it is unthinkable that the replacement value for CSX could be below \$50 billion, implying at most a return of 3%.



In our mind there is simply no justification for publicly asserting to shareholders that CSX is “achieving returns approaching cost of capital in 2007” when the reality is CSX’s returns will likely not approach its cost of capital for decades.

We therefore ask the Board and management to take the following actions:

- **Present a corrected *Stronger Returns on Long-term Investments* slide.** Management needs to present to shareholders a truer reflection of the returns CSX generates. This requires an estimation of replacement value, but even a rough approximation of replacement value will suffice to make the point. It is better to be approximately right than precisely wrong.
- **Ensure that all returns-based decisions reflect economic reality.** There are many decisions that management and the Board make based on return on capital, including pricing and capital investment decisions. We fear these decisions are being made on overstated returns, leading to wrong decisions.

IV. Capital Spending

US railroads could require up to \$150 billion of growth investment over the next 30 years to meet America’s growing freight transportation needs. CSX’s management is putting the ability of CSX, and the other major US railroads, to make the needed future investments at severe risk by advocating an illogical and undisciplined capital spending plan. Reckless spending will undermine confidence in CSX and the railroad sector, and will result in less access to capital for them all. This is of great concern to us, as we firmly believe that shareholder value is created through *sustainable* investment in safety, maintenance, infrastructure and training.

Recognizing this fact, the CEOs of all of the major US railroads, with the notable exception of Michael Ward, are trying to establish credibility as *disciplined* guardians of capital, as their comments in recent letters to the STB show:

“As a private company, BNSF will only invest in added capacity to the extent we believe we can earn an adequate return on those investments.” Matt Rose, CEO of Burlington Northern

“Increased investment in additional capacity cannot always be economically justified if it becomes questionable whether a company can meet its cost of capital on an ongoing basis.” Wick Moorman, CEO of Norfolk Southern

“The owners of the Union Pacific (our shareholders) have a fiduciary responsibility to ensure that management will operate the Company in a profitable manner and make prudent decisions regarding future capital investments.” Jim Young, CEO of Union Pacific

These CEOs recognize that capital spending must be economically justified, as the inevitable consequence of spending recklessly is losing the confidence of the owners of the business, who



will have no choice but to restrain future capital spending. Individuals who overspend lose their creditworthiness and thus their ability to spend in the future. The underlying logic and result is no different for shareholder-owned companies.

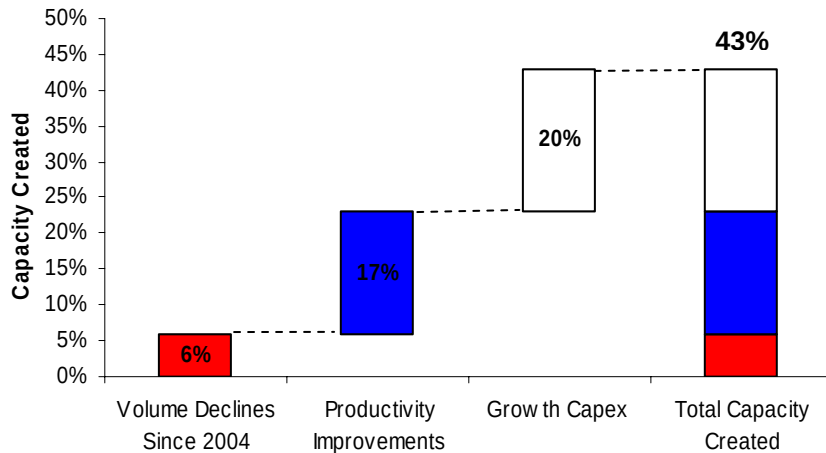
Further, just as over-extended subprime lending has resulted in a crisis of confidence among all lenders – resulting in even prime borrowers now finding it difficult to obtain mortgages – CSX’s undisciplined spending plan could prove damaging for all US railroads, even the disciplined ones. Unfortunately, as many companies and sectors have learned, once confidence is lost it can take years or decades to be re-established.

So while Michael Ward’s seeming objective to spend “until every penny of it is gone” may sound like it addresses the long-term investment need of the industry, it actually undermines it. Reckless spending is a short-term strategy, with the dire long-term consequence of less access to capital for CSX and other US railroads. US railroads are in the infancy of a very exciting growth phase; CSX management should not ruin it by undermining shareholder confidence, as they are doing.

To protect CSX’s ability to invest sustainably in the future, the Board must work to re-establish shareholder confidence. This confidence has been undermined by management’s unwillingness or inability to justify a capital spending plan that seems totally out of touch with the economic reality, as well as by glaring inconsistencies between management’s statements and actions regarding maintenance capex.

Growth investment. Management has consistently over-estimated volume growth for CSX, and as a result has spent for growth that CSX has not delivered. At CSX’s 2005 investor day management forecasted annual volume growth of 2-3%, accommodated by \$1.2 billion in annual capex. Since then volumes have declined and yet the capex budget has increased.

We firmly believe in making investments to meet the future needs of the business, but the estimate of future needs should be realistic and credible. Estimating that CSX volumes will be 43% above current levels by 2010 is neither. Yet 43% growth by 2010 seems to be what management is estimating, as the following analysis illustrates:



Please refer to footnote 5 for details

The ~23% spare capacity CSX already has (6% volume decline + 17% capacity created through productivity) seems adequate for a decade of 2-3% annual volume growth. Yet management has increased the capex budget *twice* in 2007. It is certainly reasonable for shareholders to question why management believes 43% volume growth by 2010 is realistic, especially in light of a weakening and uncertain US economy, and considering management's consistent over-estimation of volume growth historically.

We acknowledge these are very rough system-wide approximations, but even if the estimates are half of these amounts, what leads management to conclude volumes will be even 20% higher than current levels by 2010, much less 43% higher? We are not the only ones seeking an answer to this question – the JP Morgan analyst commented after the investor day as follows:

“We walked away without much conviction or visibility to how they will transition from several years of no volume growth to meaningful volume growth in the future”

“We lack visibility to improved volume performance for CSX that would help justify the strong investment”

“In our view, the combination of a very strong capital spending plan with an unfavorable medium-term volume outlook is not a good recipe for upside for this stock”

⁵ TCI Analysis. 43% comprised as follows: (i) 6% volume decline since 2004 implies at least 6% excess capacity today; (ii) since Q2 2004 dwell time and velocity have improved by 18% and 5% respectively, which we estimate creates 17% capacity assuming trains spend 90% of their time dwelling and 10% moving; (iii) management stated at the 2005 investor day that capex equal to 12-13% of revenue would finance 2-3% volume growth, implying roughly \$100 million of capex for 1% volume growth. The 2007-2010 capital budget includes over \$2 billion of expansion capex (per Oscar Munoz's presentation at the Merrill Lynch conference, June 2007), so approximately 20% volume growth.



There is a striking analogy here, with important lessons that hopefully do not have to be re-learned. The last time mature network-oriented businesses expected this type of growth was the telecom companies in the dot com era. Almost without exception, the growth did not materialize, huge value was destroyed, the management teams were replaced and access to capital thereafter was (and in many cases still is) significantly diminished. Confidence in the telecom sector has still not fully recovered.

Management may argue that the capital spending is not just for capacity increases, but also for productivity gains and efficiency improvements. However, in the railroad business, productivity gains are essentially capacity increases and, as discussed, management's operating ratio guidance seems to include no benefits from productivity or efficiency gains. All of this begs the question – where is this \$2 billion of shareholders' capital going, and for what returns? The Board should be asking this question, but management's inability to answer it leaves us to conclude that it isn't.

Maintenance capex. Senior management had *repeatedly* told us in the past that they had *not* been under-investing in the network and there was no further 'catch-up' capex required post-2006⁶. Yet at the investor day management announced a huge increase in the annual rail and tie replacement program and suggested they had underspent previously; this was the message that the market took away:

“Detailed capex forecasts suggest underspending in prior years, which could hinder future returns...In fact, Michael Ward, the company's CEO, suggested that the company's irregular capital spending in prior years may be to blame for some of the higher capital expenditures near-term” William Greene, Morgan Stanley

Based on GTMs and useful lives, the old level of rail and tie replacement seems appropriate, and it is also consistent (GTM-adjusted) with the replacement program at Norfolk Southern, widely considered the industry leader in network maintenance. This would suggest that management is now bloating the maintenance capex budget and wasting valuable shareholder capital. Alternatively, we could conclude that management *had* under-invested and had misled us and others about doing so. If this was the case, we find the under-investment of capex when compensation was free cashflow-based, and then catching up on capex once the compensation system had moved away from free cashflow, to be questionable at best.

Not only is confidence in CSX management undermined by a capital spending plan that seems economically unjustifiable and inconsistencies related to maintenance capex, it is also undermined by their advocating an approach to capital allocation, the 'balanced approach', which lacks financial logic. The 'balanced approach' is an easy way out for a management that is unable or unwilling to truly distinguish the merits of various options for capital deployment.

⁶ In late 2006 both Oscar Munoz and David Baggs told us on different occasions that maintenance capex would be \$850-900 million. Alarming management has raised this by over 25% to \$1.1 billion in the latest capital budget (per Oscar Munoz's presentation at the Merrill Lynch conference, June 2007).



Capital should be allocated to where it is able to achieve its highest long term, risk-adjusted return.

Instead CSX is allocating capital based on an arbitrary ‘balance’ and a pre-determined preference, based on Michael Ward’s comments, to invest in new projects irrespective of whether better returns can be achieved elsewhere, and to return capital to shareholders via dividends instead of share repurchases, despite the stock being fundamentally cheap in our opinion⁷.

A company’s ability to invest continuously for the long-term rests on management’s ability to maintain confidence and credibility with its shareholders. CSX is not an exception to this rule, and this confidence does not exist today. To re-establish it, management and the Board need to prove rationality, discipline and integrity to us and the other shareholders. Capital allocation deserves rigorous analysis and a transparent and financially solid logic. Management has provided none of that in our view. We therefore ask the Board and management to take the following action:

- **Justify the 2007-10 capital spending plan to shareholders.** It is time to shed biases, be transparent and realistic, and commit to deploying capital in the best interest of shareholders. Management should present details of each key project in the capital plan, the main pricing and volume assumptions, and the expected after-tax returns, so if growth investment is resumed it is done with the support of shareholders⁸. We acknowledge that this level of disclosure is not customary, but it is necessary – the Board has failed to provide proper oversight and discipline, so the shareholders must. Shareholders need the information to hold management accountable for delivering returns. It is, after all, our capital.

V. Response to Regulatory Pressure

Over the past year, the STB has issued several decisions against the railroads, including those related to smaller shipper rate cases, fuel surcharges and the cost of capital. The STB’s slashing of the cost of capital coupled with a refusal to simultaneously consider replacement cost has significantly increased regulatory risk.

We do not believe CSX management fully appreciates the regulatory and legislative risks facing the industry. In fact, CSX management is fanning the anti-rail flames and thus only increasing these risks by massively overstating CSX’s true returns.

⁷ We recognize that CSX’s returns significantly more capital via buyback than dividends. However, Oscar Munoz’s statement at the investor day is alarming, “our Chairman in particular has a strong affinity for returning value to share owners through this methodology [dividends].” The buyback versus dividend decision should be based on what most shareholders desire and on whether the stock is cheap or not. It should not be based on a Chairman’s attachment to dividends.

⁸ As discussed further in this letter, all growth capital spending should be frozen until the heightened risk of re-regulation passes. If the risk passes, management should proceed with a plan that is economically justified to shareholders.



We therefore ask the Board and management take the following actions:

- **Educate policymakers and regulators on the true state of the industry.** US railroads earn lower economic returns than almost any industry in the world, and CSX earns among the lowest returns even within that group. Instead of portraying this truthful state of the industry, management is focused on developing a paid advertising campaign about how wonderfully CSX is performing. In addition to being a waste of management time and shareholder money, it is simply not true. CSX needs to stop the sloganeering and start the education. If railroads can not earn adequate returns on replacement value they cannot justify investment, which means even more trucks on the highway, even more shippers complaining about service, and even more pollution in the atmosphere.
- **Provide the STB a practical methodology to estimate replacement value.** Replacement value or current cost accounting are widely accepted and used standards for both accounting and regulation around the world. In its recent cost of capital decision, the STB not only opened the door for the railroads to present a methodology that would allow calculation of returns on replacement cost, but cited its predecessor, the ICC, in saying that a replacement cost methodology was *preferable* to use of historic costs. Yet, the STB also has claimed that a practical methodology for estimating replacement cost has not been presented to it. This is a dramatic failure on the rail industry's part, and it needs to be rectified immediately by CSX alone or in conjunction with other US railroads.
- **Freeze growth investment until the fate of the re-regulation bill is known.** It is irresponsible to make long-term investments without knowing the long-term returns, and the long-term returns are unknowable while the re-regulation risk persists at this heightened level. This is a sad outcome, and ironic as Washington acknowledges the railroads' need to make long-term investments, and yet it is the uncertainty emanating from Washington that ensures such investments cannot be justifiably made.

VI. Management Approach to Key Constituencies

It is completely counter-intuitive to us that at the time of the brightest long-term prospects for the industry, putting the heightened risk of re-regulation aside, CSX has managed to alienate its workers, its customers, and its owners. Railroads are unique in American industry in that they have the largest self-managed workforce in the country, touch nearly every sector and every community, and re-invest the highest level of capital per revenue dollar of any major industry. Thus, while good relations with workers, customers and owners are always important, they seem essential for railroads.

Yet, in our experience, and those relayed to us by others, CSX management has too often taken an 'us versus them' approach, resulting in tension instead of solutions. We strongly urge the Board and management to re-evaluate this adversarial approach, as workers will be more productive, shippers more accommodating, and shareholders more understanding if management fosters an open, collaborative and constructive relationship with all of them. All of our interests should be, largely, aligned.



We hope you receive this as a constructive letter from an informed shareholder with a simple aim – a better and stronger CSX. We have no desire to be disrespectful to the Board or the management team. Our views of CSX, as with all of our investments, are based on the facts. We do not have preconceived notions of the right actions or strategies a company should pursue. We have supported management in many of the companies in which we invest, and opposed it in others. We have supported acquisitions and increased investment in some companies in which we invest, and opposed it in others. Our view is always informed by an open-minded and objective assessment of the facts and the situation. As our record shows, our views have usually proven over time to be in the best long-term interest of the companies in which we invest. To us, this is being a good shareholder, and that is what we strive to be.

We hope you appreciate that it is incumbent on us to raise these issues on behalf of all of the stakeholders of CSX, and as we are guardians of others' capital and have a duty to act in their best long-term interests, as you do to act in ours, the shareholders'.

We sincerely hope you will act now -- and act voluntarily -- to address the serious issues facing CSX. We are available, as always, to discuss issues relevant to CSX.

Sincerely,

Chris Hohn
Managing Partner

Snehal Amin
Partner

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**TCI AND 3G FORM GROUP OWNING 8.3% OF CSX SHARES
AND AN ADDITIONAL 11.8% ECONOMIC INTEREST**

PLAN TO NOMINATE MINORITY BOARD SLATE OF FIVE DIRECTORS

NEW YORK, DECEMBER 19, 2007 – The Children’s Investment Fund Management (UK) LLP (“TCI”) and 3G Capital Partners, LTD. (“3G”) today filed a Schedule 13D with the Securities and Exchange Commission disclosing that they and several individuals have formed a group (“Group”) whose members own in the aggregate 8.3% of the outstanding common shares of CSX Corporation (NYSE: CSX). The members of the Group also hold derivative securities providing economic exposure equivalent to an additional 11.8% of CSX’s outstanding shares.

The filing also disclosed that the Group intends to nominate five directors for election to the Board of Directors of CSX at its 2008 Annual Meeting of Shareholders.

The Group believes its nominees will strengthen CSX’s Board by adding strong independent directors with a shareholder orientation, a broad range of railroad and other relevant experience, and a firm commitment to improving CSX’s operating performance and corporate governance.

Christopher Hohn, Managing Partner of TCI, said, “CSX’s incumbent Board has overseen a railroad that for many years has lagged its peers on many of the key metrics of operational and financial performance. Rather than engage in a constructive dialogue with one of its largest shareholders, the CSX Board has consistently ignored our substantive concerns and failed to hold management accountable for continuing operational underperformance. Our goal is a strong CSX that can provide the returns shareholders deserve, the service shippers demand, a safety record communities can count on, and a working environment employees can be proud of. To this end, we are nominating to the Board the principals of two major shareholders and three distinguished independents with meaningful railroad experience. We are committed to working constructively with members of the Board to help improve CSX for the benefit of all of its stakeholders.”

The director nominees are:

➤ **Christopher Hohn**

Before founding TCI in 2003, Mr. Hohn spent seven years at Perry Capital and was the portfolio manager leading its European investment strategy from 1997 to 2003. Mr. Hohn has previously served on the Board of RIT Capital Partners plc, which is publicly listed on the London Stock Exchange.

Key reasons Mr. Hohn is being nominated and can add value to CSX are:

- Mr. Hohn has a long and successful track record of fundamental investing and actively maximizing value of public companies, including the Deutsche Börse Group, ABN AMRO, and Euronext N.V.
- Mr. Hohn has successfully advocated for strong corporate governance and shareholder rights in situations around the world.
- TCI owns approximately 4.2% of CSX's outstanding shares.

Mr. Hohn received a B.S. degree in Accounting and Business Economics (1st Class Honors) from Southampton University and an M.B.A. degree (high distinction) from Harvard Business School.

➤ **Alexandre Behring**

Mr. Behring is the Managing Director of 3G, a private investment firm. Previously, he spent 10 years at GP Investments, Latin America's largest private-equity firm, including eight years as a Partner and Member of the firm's Investment Committee. He served for seven years as CEO of America Latina Logistica (ALL), Latin America's largest independent railroad and logistics company, which operates more than 13,000 miles of track in Brazil and Argentina. He continues to serve on the Management Committee of ALL's Board.

Key reasons Mr. Behring is being nominated and can add value to CSX are:

- Mr. Behring is a unique combination of a large CSX shareholder (3G owns approximately 4.1% of CSX's outstanding shares) and an experienced, accomplished, hands-on railroad executive.
- Under his leadership, ALL's accident rate was reduced by 86%, locomotive productivity increased at a double-digit compound annual growth rate, and its EBITDA margin improved from 6% to 42% through the third quarter 2007.
- ALL is now one of the most efficient and technologically advanced freight railroads in the world and has also been voted several times by its employees as one of the best companies to work for in Latin America.
- As a publicly traded company, ALL's market capitalization of \$6.5 billion is over 30 times the amount Mr. Behring and his partners paid for the company 10 years ago.

Mr. Behring received a B.S. degree in Electric Engineering from Pontifícia Universidade Católica and an M.B.A. degree (high distinction) from Harvard Business School. He is also a locomotive engineer.

➤ **Gilbert Lamphere**

Mr. Lamphere is the Managing Director of Lamphere Capital Management, a private investment firm. Previously, he was a Director of Canadian National Railway, Chairman of Illinois Central Railroad prior to its sale to Canadian National in 1998, and a Director of Florida East Coast Industries (a railroad and real estate company). He also participated in the acquisition, financing, and oversight of MidSouth Rail. Mr. Lamphere has served as a Director of nine other public companies, including Carlyle Industries, Inc., Cleveland-Cliffs Inc., R. P. Scherer Corporation, Global Natural Resources Corporation and Recognition International, Inc. Earlier in his career, Mr. Lamphere was a Vice President of Mergers & Acquisitions at Morgan Stanley.

Key reasons Mr. Lamphere is being nominated and can add value to CSX are:

- Mr. Lamphere has been Chairman or a director at three of the most successful and efficient railroads in North America.
- During his tenure on the Boards of Canadian National and Illinois Central, where he worked closely with Hunter Harrison, the Companies' operating ratios improved from 76% to 64% and from over 90% to 63%, respectively.
- Mr. Lamphere is deeply knowledgeable of the best practices in railroad operations and a proven value-added railroad board director.

Mr. Lamphere received an A.B. degree in Economics from Princeton University and an M.B.A. degree (high distinction) from Harvard Business School.

➤ **Timothy O'Toole**

Mr. O'Toole has over 25 years of railroad industry experience. He is currently the Managing Director of the London Underground, where he is responsible for operating and rebuilding the Tube, the world's oldest metropolitan railway. Previously, he served as President and Chief Executive Officer of Conrail from 1998 to 2001. During his more than 20 years at Conrail, he served in various senior management roles, including Senior Vice President of Law and Government Affairs, Senior Vice President of Finance and Chief Financial Officer, Vice President and Treasurer, and Vice President and General Counsel.

Key reasons Mr. O'Toole is being nominated and can add value to CSX are:

- Mr. O'Toole was a prominent figure in the transaction splitting the former Conrail business between CSX and Norfolk Southern, providing him with first-hand knowledge of CSX's assets and operations.
- Under his leadership, Conrail achieved record financial results and safety performance. Similarly, under his leadership the London Underground has improved service and safety and moved record numbers of passengers, all while undergoing an historic rebuilding program.
- Mr. O'Toole was made an Honorary Commander of the British Empire in recognition of his performance following the terrorist attack on London's transport system in 2005.

Mr. O'Toole received a B.A. degree in English Literature (Maxima Cum Laude) from LaSalle University, a J.D. degree from the University of Pittsburgh School of Law, and an Honorary Doctor of Humane Letters degree from LaSalle University.

➤ **Gary Wilson**

Mr. Wilson was a principal investor and Co-Chairman of the Board of Northwest Airlines from 1991 to 1997 and Chairman from 1997 to 2007. From 1985 to 1990, he was Chief Financial Officer and a director of The Walt Disney Company and served on its Board until 2006. Prior to joining Disney, Mr. Wilson served for 11 years in senior executive positions at Marriott Corp., including Executive Vice President and Chief Financial Officer, Head of Corporate Development, and Treasurer. He is a current director of Yahoo! Inc. (NASDAQ: YHOO) and CB Richard Ellis Group Inc. (NYSE: CBG).

Key reasons Mr. Wilson is being nominated and can add value to the CSX Board are:

- Mr. Wilson has a track record – as an executive, director and investor – of leading major companies through strategic transitions and creating substantial shareholder value. He is also a strong advocate of improved corporate governance in public companies.
- Mr. Wilson successfully transitioned Marriott from an owner-operator to the more profitable and scaleable business model of a hotel management company.
- During his tenure as CFO, Disney's market value increased significantly and Mr. Wilson expanded its hotel and theme park assets while utilizing innovative financing techniques.
- Mr. Wilson was an investor in and a director of Progress Rail, one of North America's largest providers of railroad products and services.

Mr. Wilson received a B.A. degree from Duke University and an M.B.A. degree from The Wharton School of the University of Pennsylvania.

For further information, please visit www.strongercsx.com.

About TCI

TCI is a London-based asset manager founded in 2003 which manages The Children's Investment Master Fund. TCI makes long-term investments in companies globally. The management company is authorized and regulated in the United Kingdom by the Financial Services Authority. The majority of TCI's profits go to The Children's Investment Fund Foundation, a non-profit organization focused on improving the lives of children living in poverty in developing countries.

About 3G

3G manages a private investment fund that invests in global equities and special situations. 3G Fund L.P. leverages its deep industry and operating expertise in different sectors to identify attractive, long-duration investment opportunities.

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Appendix 5 – The Children's Investment Fund Foundation ("CIFF")

The Children's Investment Fund Foundation 2007 Summary Review

CIFF enters 2008 having assembled a core team of experienced and talented staff based in London, Africa (Malawi, Kenya, Uganda) and India. Day-to-day management is being led by COO Peter McDermott, formerly Chief of HIV/AIDS for UNICEF. The team represents a strong complement of private sector and development experiences, including a former Morgan Stanley director, a former FTSE 100 finance director, a former principle of a derivatives fund, and a recipient of a Presidential Medal for his extraordinary work in Sudan which enabled the initial emergency response to be undertaken in that country.

CIFF has increasingly distinguished its approach to granting as an engaged funder, consistent with a private equity model of investing. Not only is CIFF extremely diligent in determining the areas in which it chooses to invest, vetting potential grantees and guiding the development of the initiatives it funds to ensure the greatest return for children and best value for money, CIFF also takes a very active role with our grantees subsequent to funding. For each grant CIFF allocates, a Portfolio Manager based in the field is assigned to oversee the grant and ensure: a robust approach to monitoring the impact of the grant on children; the grant is delivering high returns on the health, education, nutrition, security and psychosocial well-being of children; and, that programs are being optimally managed to achieve the highest degree of quality, efficiencies, sustainability and leverage.

CIFF is increasingly funding initiatives with potential for regional and global impact, with the priority focus of its work in Africa and India. Current priorities for CIFF include:

- ❑ **Ensuring children are protected from AIDS.** CIFF continues to support the work of the Clinton Foundation in making paediatric antiretroviral drugs universally accessible. Since 2005, when CIFF first rallied to secure the funding to make the drugs affordable and support an initial 10,000 children to get access to these life saving medications in 10 countries, the annual price of the medications to keep a child alive has fallen from \$180 to \$60 per child, with 100,000 children now on treatment and programs initiated in 33 countries.

CIFF is now aiming to ensure that the disease is never passed from mother to child, pushing aggressively for higher quality interventions and a scale of coverage that CIFF believes will largely eliminate the current annual infection rate of over 420,000 children with over 330,000 children dying of the disease each year. In both efforts, CIFF is supporting the linkage of this treatment to improvements in broader funding and delivery of children's healthcare. Currently CIFF is funding three grantees, AMPATH in Kenya, PREFA in Uganda, and the Clinton Foundation working in twelve countries committed to this achieving this level of scale and efficacy in prevention of mother to child transmission (PMTCT).

- ❑ **Transforming universal primary education into quality education.** There is increasing momentum across developing countries for the elimination of fees for primary schools. While these policy changes have led to an exciting burgeoning of school enrolment, the quality of education these children receive has often been dismal. Overcrowding, rote teaching, poor remuneration and morale of teachers, and hunger are among the factors depressing learning. In 2008, CIFF anticipates building a portfolio of initiatives that will demonstrate that sustained improvements in learning attainment in reading and math can be achieved at scale. We will also be exploring the funding of models to provide education to children displaced by conflict, as estimates are that less than 10% of displaced children have access to education.
- ❑ **Expanding essential hygiene and sanitation to reduce child morbidity and mortality.** Ensuring that the efforts to bring access to water in communities are complemented with improvements in sanitation and hygiene—the more essential elements in reducing diarrhoea and mortality among the under five population.

- ❑ **Essential services and security for returning displaced children.** CIFF will be seeking to support transition to peace in Northern Uganda, one of CIFF's priority countries, with efforts particularly focused on ensuring services and security are in place for children as they transition from camps for the internally placed back to communities.
- ❑ **Exploring implications of climate change.** CIFF is exploring establishing a special initiative on Climate Change, a looming threat to food security, health status and general stability in the regions to which CIFF is committed, variables which will make children particularly vulnerable. It is our initial view that the next five years will be critical to stemming the disastrous implications of a failure to reform in this arena.

In addition to these areas, CIFF will be researching several new areas for possible funding in 2008 to assess the potential impact for children of working within these arenas, as well as CIFF's potential value added in these areas. To this end, we have engaged in dialogues with ELMA Philanthropies, Gates Foundation, UN Foundation, Hewlett Foundation and an array of others as potential partners moving forward.